

Determining Income Eligibility

Policy: Local WIC program staff shall determine income eligibility for all WIC applicants and participants at certification and recertification appointments.

Regulation: 7 CFR 246.7 (d)(2)(ii), 7 CFR 246.7 (d)(2)(iv)

Procedure/Additional Guidance:

Staff must first assess for adjunctive eligibility. See Adjunctive Eligibility policy. If an applicant/participant is not adjunctively eligible, staff must assess the household's income situation and determine the most appropriate method for determining the household's income.

Income Sources to be Included in Determining Income Eligibility:

Income means gross income before deductions for income taxes, employee's social security taxes, insurance premiums, bonds, etc. WIC regulations do not allow a household's income to be reduced for hardships, high medical bills, child care payments, taxes, child support, alimony, insurance, or other deductions.

Income includes the following:

- Monetary compensation for services, including wages, salary, commissions, or fees, including active military payments.
- Social Security, Social Security Disability.
- Dividends or interest on savings or bonds, income from estates or trusts, or net rental income.
- Public assistance or welfare payments, foster care payments (SNAP benefits are not counted as income).
- Unemployment Compensation.
- Government civilian employee or military retirement, pensions, or veteran's payments.
- Private pensions or annuities.
- Alimony or child support payments.
- Military clothing allowance.
- Military Basic Allowance for Subsistence (BAS).
- Military foreign duty pay.
- Any Cost-Of-Living Allowance (COLA) provided to military personnel on duty in designated high-cost areas within the 48 contiguous states of the United States. This allowance is referred to as the continental United States (CONUS) COLA.
- Regular contributions from persons not living in the household.
- Net royalties.
- Other cash income, including, but not limited to, cash amounts received or withdrawn from any source, including savings, investments, trust accounts, or other resources which are readily available to the family (See Lump Sum Payments below).
- Education grants and loans are considered income when determining WIC eligibility, dependent on the source of the grant or loan (see Income and Benefits Exclusion List). Money received from the G.I. Bill for educational purposes is considered income.
- Lump sum payments may be considered income depending on their classification. Lump sum payments are classified as either "new money" or "reimbursements" for lost assets or for injuries.
 - ✓ Lump sum payments that represent "new money" intended to be used as income should be considered as "other cash income" and counted as income for WIC income eligibility determinations. Examples of "new money" include: gifts, inheritances, lottery winnings, workers' compensation for lost income, and severance pay.
 - ✓ Lump sum payments that represent reimbursements should not be counted as income. Examples of lump sum payments as "reimbursements" that do not count as income include: mileage reimbursements, amounts received from insurance companies (home or auto) for loss or damage of real or personal property incurred by a household, such as payment of medical bills resulting from an accident or injury.
 - ✓ Lump sum payments may not fall easily into the categories of "reimbursements" or "new money" but may in fact represent both. Examples include legal or medical settlements that provide reimbursement for lost property and medical expenses, as well as compensation for tangible or intangible physical or

mental injury. In the case that a lump sum payment falls into both categories, the payment should be treated in a way that most accurately reflects the economic situation of the household.

- ✓ For those lump sum payments that are considered as income, the lump sum should be counted as annual income or divided by 12 to estimate a monthly income.

Income Sources NOT to be Included in Determining Household Eligibility

- Any Basic Allowance for Housing (BAH) received by military service personnel for residing off base or as payments for privatized on-base housing.
- Any Cost-Of-Living Allowance (COLA) provided to a member of a uniformed service who is on duty outside the contiguous states of the United States. This allowance is referred to as the Overseas Continental United States (OCONUS) COLA. Some members of a military family may remain stateside and apply for WIC while a family member on duty overseas receives the OCONUS COLA.
- Combat pay is an additional payment (Chapter 5 of Title 37 of the United States Code) received by the household member who is deployed to a designated combat zone. Combat pay received by service members is normally reflected in the entitlements column of the military Leave and Earning Statement (LES). Family Separation Hardship (FSH), Hardship Duty Pay (HDP) are also exclusions. Combat pay, Hardship Duty Pay, and Family Separation pay are excluded from WIC income eligibility determination when:
 - ✓ Received in addition to the service member's basic pay; and
 - ✓ Received as a result of the service member's deployment to or service in an area that has been designated a combat zone; and
 - ✓ Not received by the service member prior to his/her deployment to or service in the designated combat zone.
 - ✓ Received as Deployment Extension Incentive Pay (DEIP)/Deployment Extension Stabilization Program (DESP) pay. DEIP/DESP payments are given to active service members who agree to extend their military service by completing deployment with their units without re-enlisting. This exemption to income applies until the service member returns to a military installation within the United States. (Note: Any additional DEIP or DESP payment received by the service member while serving within the United States must be counted as income for WIC eligibility determination purposes.)
- The value of in-kind housing and other in-kind benefits (e.g. divorced woman has full custody of child and her ex-husband pays child care expense directly to childcare provider).
- Reimbursements from the Uniform Relocation Assistance and Real Property Acquisition Policies Act of 1970 (Pub. L. 91-646, sec. 216, 42 U.S.C. 4636).
- Any payment to volunteers under Title I (VISTA and others) and Title II (RSVP, foster grandparents, and others) of the Domestic Volunteers Service Act of 1973 (Pub. L. 93-113, sec. 404(g), 42 U.S.C. 5044(g)) to the extent excluded by that Act.
- Payment to volunteers under section 8(b)(1)(B) of the Small Business Act (SCORE and ACE) (Pub. L. 95-510, sec. 101, 15 U.S.C. 637(b)(1)(D)).
- Income derived from certain sub marginal land of the United States, which is held in trust for certain Indian tribes (Pub. L. 94-114, sec. 6, 25 U.S.C. 459e).
- Payments received: Job Training Partnership Act (Pub.L. 97-300, sec. 42(b),29.S.C. 1552(b));
- Income derived from the disposition of funds to the Grand River Band of Ottawa Indians (Pub. L. 94-540, sec 6).
- Payments received under the Alaska Native Claims Settlement Act (Pub. L. 100-241, sec. 15, 43 U.S.C. sec. 1626(c)).
- The value of assistance to children or their families under the National School Lunch Act, as amended (Pub. L. 94-105, sec. 9(d), 42 U.S.C. sec. 1760(e)), the Child Nutrition Act of 1966 (including free or reduced-price lunches or breakfasts, and meals or supplements in the Child and Adult Care Program and Summer Food Service Program) (Pub. L. 89-642, sec. 11(b), 42 U.S.C. sec. 1780(b)), and the Food Stamp Act of 1977 (Food Stamp Program, including Food Distribution Program on Indian Reservations) (Pub. L. 95-113, sec. 1301, 7 U.S.C. sec 1017(b)).
- Payments by the Indian Claims Commission to the Confederate Tribes and Bands of the Yakima Indian Nation or Apache Tribe of the Mescalero Reservation (Pub.L.95-433,sec.2,25USC609c-1).
- Payments to the Passamaquoddy Tribe and the Penobscot Nation or any of their members received pursuant to the Maine Indian Claims Settlement Act of 1980 (Pub. L. 96-420, sec. 6, 9(c), 25 U.S.C 1725(l), 1728(c)).

- Payments under the Low-income Home Energy Assistance Act, as amended (Pub. L. 99-125, sec. 504(c), 42 U.S.C. sec. 8624(f)).
- Student financial assistance received from any program funded in whole or part under Title IV of the Higher Education Act of 1965, including the Pell Grant, Supplemental Educational Opportunity Grant, State Student Incentive Grants, National Direct Student Loan, PLUS, College Work Study, and Byrd Honor Scholarship programs, which is used for costs described in section 472 (1) and (2) of that Act (Pub. L. 99-498, section 479B, 20 U.S.C. 1087uu). The specified costs set forth in section 472 (1) and (2) of the Higher Education Act are tuition and fees normally assessed a student carrying the same academic workload as determined by the institution, and including the costs for rental or purchase of any equipment, materials, or supplies required of all students in the same course of study; and an allowance for books, supplies, transportation, and miscellaneous personal expenses for a student attending the institution on at least a half-time basis, as determined by the institution. The specified costs set forth in section 472 (1) and (2) of the Act are those costs which are related to the costs of attendance at the educational institution and do not include room and board and dependent care expenses.
- Payments under the Disaster Relief Act of 1974, as amended by the Disaster Relief and Emergency Assistance Amendments of 1989 (Pub. L. 100-707, sec. 105 (I), 42 U.S.C. sec. 5155(d)).
- Effective July 1, 1991, payments received under the Carl D. Perkins Vocational Education Act, as amended by the Carl D. Perkins Vocational and Applied Technology Education Act Amendments of 1990 (Pub. L. 101-392, sec. 501, 20 U.S.C. sec. 2466d).
- Payments pursuant to the Agent Orange Compensation Exclusion Act (Pub. L. 101-201, sec.1).
- Payments received for Wartime Relocation of Civilians under the Civil Liberties Act of 1988 (Pub. L. 100-383, sec. 105 (f)(2), 50 App. U.S.C. sec. 1989b-4(f)(2)).
- Value of any child care payments made under section 402(g)(1)(E) of the Social Security Act, as amended by the Family Support Act (Pub. L. 100-485, sec. 301, 42 U.S.C. sec. 602 (g)(1)(E)).
- Value of any "at-risk" block grant child care payments made under section 5081 of Pub.L. 101-508, which amended section 402(l) of the Social Security Act.
- Value of any child care provided or paid for under the Child Care and Development Block Grant Act, as amended (Pub. L. 102-586, sec. 8(b), 42 U.S.C. 9858q).
- Mandatory salary reduction amount for military service personnel, which is used to fund the Veteran's Educational Assistance Act of 1984 (GI Bill), as amended (Pub. L. 99-576, sec. 303(a)(1), 38 U.S.C. sec. 1411 (b)).
- Payments received under the Old Age Assistance Claims Settlement Act except for per capital shares in excess of \$2000 (Pub. L.98-500, sec. 8, 25 U.S.C. sec. 2307).
- Payments received under the Cranston-Gonzales National Affordable Housing Act, unless the income of the family equals or exceeds 80 percent of the median income of the area (Pub. L. 101-625, sec. 522(l)(4), 42 U.S.C. sec.1437 (nt)).
- Payments received under the Housing and Community Development Act of 1987, unless the income of the family increases at any time to no less than 50 percent of the median income of the area (Pub. L.100-242, sec. 126(c)(5)(A), 25 U.S.C. sec. 2307).
- Payments received under the Sac and Fox Indian claims agreement (Pub. L. 94-189, sec 6).
- Payments received under the Judgment Award Authorization Act, as amended (Pub. L. 97-458, sec. 4, 25 U.S.C. sec. 1407 and Pub. L. 98-64, sec. 2(b), 25 U.S.C. sec. 117b(b)).
- Payments for the relocation assistance of members of Navajo and Hopi Tribes (Pub. L. 93-531, sec. 22, U.S.C. sec. 640d-21).
- Payments to the Turtle Mountain Band of Chippewas, Arizona (Pub. L. 97-403, sec.9).
- Payments to the Blackfeet, Grosventre, and Assiniboine tribes (Montana) and the Papago (Arizona) (Pub. L. 97-408, sec. 8(d)).
- Payments to the Assiniboine Tribe of the Fort Belknap Indian community and the Assiniboine Tribe of the Fort Peck Indian Reservation (Montana) (Pub. L. 98-124, sec. 5).
- Payments to the Red Lake Band of Chippewas (Pub. L. 98-123, sec. 3).
- Payments received under the Saginaw Chippewa Indian Tribe of Michigan Distribution of Judgment Funds Act (Pub. L. 99-346, sec. 6(b)(2)).
- Payments to the Chippewas of Mississippi (Pub. L. 99-377, sec. 4(b)).
- Payments received under the Medicare Prescription Drug, Improvement, and Modernization Act of 2003 through the prescription drug discount program must not be treated as income.

- Earned Income Tax Credit (EITC) refund/payments.
- National Flood Insurance program payments (USDA Policy Letter WC-06-02-P).
- Treatment of Family Subsistence Supplemental Allowance (FSSA)(USDA Policy Letter WC-06-03-P).
- Loans, not including amounts to which the applicant has constant or unlimited access.
- Filipino Veterans Equity Compensation Fund payments (Public Law 111-5, Sections 1002(c) and 1002(g)).

Any benefit that is of value, but which is not provided in the form of cash, is considered an in-kind benefit and is not counted as income. Example: A divorced woman has full custody of a child, and her ex-husband pays child care expenses directly to the child's day care center. Those payments are considered an in-kind benefit and are not included in her income. However, if the ex-husband pays the money directly to the divorced woman, who then pays the day care, then the money is included as income. Another example includes a person who receives housing without cost as part of their job. The value of in-kind housing is not considered income. If a person receives a housing allowance (money), then it is considered income.

Special Income Situations/Considerations

Current Income versus Annual Income

Current income is defined as all income received by the household during the month (30 days) before the date they apply for WIC benefits.

When income received in the prior 30 days does not accurately reflect the household's current circumstances, income expected to be received in the next 30 days may be used instead. Staff may use either income from the past 30 days or income expected in the next 30 days, whichever best represents the household's current financial situation.

- Examples of Using Current Income:
 - If an individual's income increases and this increase is expected to continue (such as a raise in salary), the increased pay must be used for income determination.
 - If an individual's income decreases and the decrease is expected to continue (for example, if a person lost a higher-paying job and transitions to a lower-paying job), the reduced pay must be used for income determination.
 - When adult household members are unemployed, income determination should be based on the income they are currently receiving or expect to receive in the next 30 days (such as unemployment benefits), if applicable.
 - Households experiencing temporary low-income situations must be assessed using current income based on either the past 30 days or the next 30 days, whichever best reflects the household's present financial circumstances.

Temporary low-income situations may include, but are not limited to:

- Construction or seasonal workers.
- Seasonal agricultural workers, including farmers (see *Self-Employed Individuals* policy for how income must be calculated).
- Teachers paid for fewer than 12 months of the year.
- Individuals on extended leave due to childbirth or illness.
- Furloughed individuals.

Annual income is defined as income received during the past 12 months. Lump sum payments must be counted as annual income or be divided by 12 to estimate a monthly income for eligibility purposes.

- Lump sum payments include one-time or irregular payments, such as, but not limited to:
 - Bonuses (e.g., reenlistment bonuses, hazardous duty pay)
 - Other one-time income payments considered countable that are listed under the *Income Sources to be Included in Determining Income Eligibility*.

Self-Employed Individuals

For self-employed farm and non-farm individuals, WIC income eligibility must be determined using net income, not gross income.

WIC agencies are encouraged to use the applicant's most recently completed Internal Revenue Service (IRS) tax returns as a basis for calculating net income for both self-employed farm and non-farm individuals. State and local agencies should use the adjusted net income figure shown on the completed Federal tax return. It is not the responsibility of the local WIC staff to challenge or recalculate that amount.

When tax documents are not available, staff must review the list of acceptable proofs of income. **Staff may then use either income from the past 30 days or income expected in the next 30 days, whichever best represents the household's current financial situation.** If no other proof of income is available, an affidavit may be used.

Participants Declaring Zero Income

When an applicant declares zero income for their household, staff should question how basic living necessities such as food, shelter, medical care, and clothing are obtained. Given WIC's definition of economic unit (a group of related or unrelated persons sharing financial and other resources), some WIC participants may incorrectly report having zero income.

- For example, an unemployed pregnant woman may report zero income even though she lives with a friend who provides housing, water, electricity, and/or food. In this example the pregnant woman is actually part of the larger household and must report the income of her friend (and any other household members).

Income Ineligibility and Disqualification

If the participant is found to be over income and not adjunctively eligible, all members of their household should be disqualified from WIC even if they are currently within a certification period. Participants found to be over income and are within their certification period should be issued 15 more days of food benefits, made ineligible, and be given a *Notice of Ineligibility*. Exception is when 90 days or less remain in the certification period, the remainder of the food benefits may be issued through the current certification period.

Income Eligibility Complaints

Any time a Local WIC program receives a complaint against a participant about questionable income eligibility, either verbally or in writing, local staff shall determine if any further investigation or action is needed to address the reported complaint.